

THE RIGHT FIX

WITH INTEREST RATES RISING, FIXED-INCOME INSTRUMENTS
HAVE SUDDENLY BECOME ATTRACTIVE. TAKE YOUR PICK FROM
FDs, DEBT FUNDS OR CORPORATE BONDS

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THE YEAR 2022 has seen some unprecedented events. While the world was coming out of Covid-19-led disruptions, the commencement of the Russia-Ukraine conflict, coupled with other economic headwinds, led to a surge in commodity prices, further causing volatility in financial markets across the globe. Many developed countries have touched multi-decade-high inflation rates, forcing their central banks to go for inflation-targeting monetary policy, which has led to an aggressive rate hike cycle. Consequently, interest rates have shot up globally and most currencies have turned even more volatile.

Back home, the situation is not very different. The Reserve Bank of India (RBI) has also increased the repo rate—the rate at which banks borrow from the central bank—four times since May 2022, and it is expected to further hike policy rates before taking a

pause. Against this background, fixed deposit (FD) rates have gone up slightly. In such a scenario, the question arises: should one invest in FDs to cash in on the rising rates? Or are debt funds a better option with many of the view that interest rates are nearing their peak? Or is it better to invest in corporate bonds?

Let's take a look at the state of different fixed-income segments and the strategy you should follow to get the maximum benefit.

DEBT FUNDS

Let us start with debt funds. The RBI has been increasing rates and reducing system liquidity over the past year, leading to yields rising across maturities. Sample this: In the past five months, the repo rate has been raised by 190 basis points (bps) to 5.9 per cent, while the benchmark 10-year G-sec yield has risen 160 bps to 7.4 per cent. Accordingly, over the past year, debt funds have not done well, as they saw the prices of their hold-